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Zhejiang Sanhua Intelligent Controls | Asia Pacific

2Q26 Preview: Revenue Better than Feared

Key Takeaways

- We estimate Sanhua's 2Q26 revenue will grow both YoY and QoQ, despite declines in China's domestic EV and air-conditioner (AC) volumes on a YoY basis.
- Strong EV export growth from China, double-digit YoY volume growth from a major US EV customer, and increasing module mix likely supported Sanhua's 2Q revenue.
- Mgmt has reiterated its target to grow liquid cooling revenue by >50% YoY in 2026. Besides the primary (outdoor) side, it is also developing parts for the secondary (indoor) side.
- FX losses likely remained a headwind in 2Q, as the RMB continued to appreciate against the USD.
- We also expect higher copper and aluminum prices to have weighed on 2Q margins, although Sanhua has partially mitigated this impact through hedging.

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Zhejiang Sanhua Intelligent Controls (002050.SZ, 002050 CS)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb40.00
Up/downside to price target (%)	(7)
Shr price, close (Jul 10, 2026)	Rmb43.20
52-Week Range	Rmb60.77-25.25
Sh out, dil, curr (mn)	4,200
Mkt cap, curr (mn)	Rmb181,425
EV, curr (mn)	Rmb167,712
Avg daily trading value (mn)	Rmb6,829

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.02	1.12	1.35	1.54
EPS, basic (Rmb)**	1.02	1.12	1.35	1.54
Revenue, net (Rmb mn)	31,012	33,894	39,149	43,259
EBITDA (Rmb mn)	5,970	6,393	7,612	8,566
ModelWare net inc (Rmb mn)	4,063	4,712	5,675	6,453
P/E	54.0	38.5	32.0	28.1
P/BV	6.5	4.6	4.1	3.7
RNOA (%)	21.9	20.7	23.1	24.1
ROE (%)	21.1	14.8	16.2	16.5
EV/EBITDA	32.2	25.9	21.5	18.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Zhejiang Sanhua Intelligent Controls 002050.SZ

2Q26 revenue from EV and cooling parts — In-line — Largely unchanged

- (+) Solid EV parts revenue, thanks to strong China EV exports.
- (=) Weak residential cooling parts revenue, offset by growing AIDC liquid cooling revenue.
- (-) FX loss due to RMB appreciation against USD.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Zhejiang Sanhua Intelligent Controls (002050.SZ)

Base case, derived from DCF valuation. Our key assumptions include a 12% WACC (14.5% cost of equity and 6.3% cost of debt) and a 3% terminal growth rate.

Risks to Upside

- Stronger-than-expected Tesla sales, especially in China
- Higher-than-expected air conditioner sales growth
- Order wins from new EV customers
- Robotic business wins

Risks to Downside

- Sales slump in China's property market (affecting residential HVAC), as seen in 2015
- Global EV demand slowdown
- Growing competition in NEV business
- FX/export risks amid macro uncertainty

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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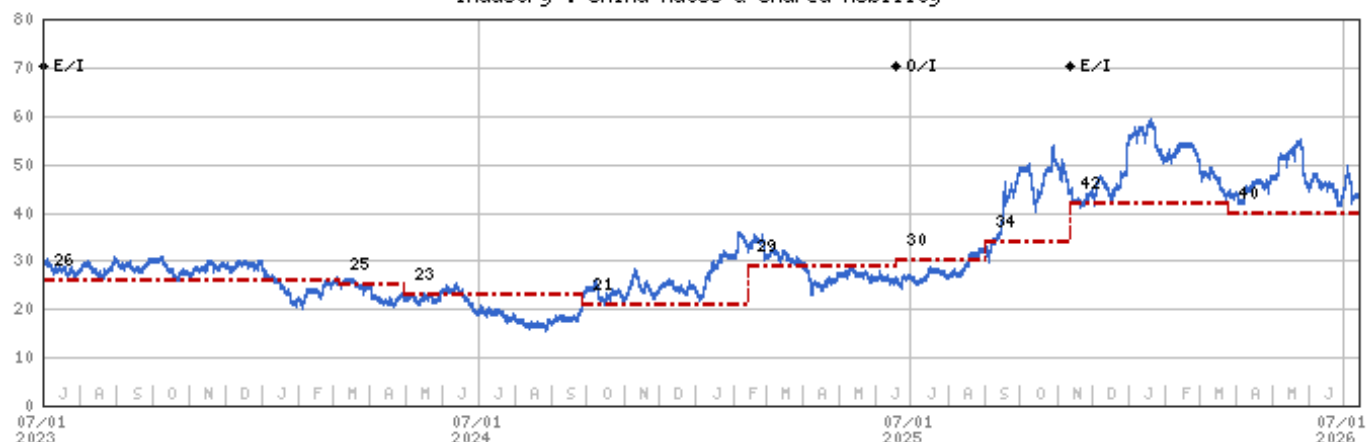
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Zhejiang Sanhua Intelligent Controls (002050.SZ) - As of 07/13/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 7/1/21 : 0/C; 9/1/21 : 0/A; 3/1/22 : E/A; 8/15/22 : E/A; 8/25/22 : E/I; 6/18/25 : 0/I; 11/12/25 : E/I

Price Target History: 6/12/20 : 22; 3/1/22 : 21; 4/13/22 : 17; 8/15/22 : 26; 3/6/24 : 25; 4/30/24 : 23; 9/27/24 : 21; 2/13/25 : 29; 6/18/25 : 30; 9/1/25 : 34; 11/12/25 : 42; 3/25/26 : 40

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb24.67
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.79
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.99
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.11
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.19
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.19
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.96
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.79
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb23.04
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.12
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.17
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.40
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb69.37
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.75
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb93.34
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.51
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.82
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.61
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb50.79
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$51.10
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb88.98
Keboda (603786.SS)	O (01/17/2024)	Rmb41.40
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.60
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.67
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$3.95
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb21.55

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb57.36
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb12.07
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb79.16
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.28
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb43.20
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$5.06
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.83
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb90.00
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$84.90
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.59
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.64
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.26
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.64
Hesai Group (HSAI.O)	O (07/28/2025)	US\$16.16
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.42
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.10
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$47.42
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$38.66
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.78
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.57
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$51.25
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.03

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.